Ch – 10: IAS 1 - Presentation of Financial Statements

Practice Questions

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1. Which of the following is correct?

(i) Financial statements should present fairly the financial position and performance of the entity.

(ii) Comparative information for the preceding period should be disclosed.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

2. Which of the following is required for proper identification of financial statements?

(i) Name of the reporting entity

(ii) Level of rounding used in figures

a) Only I

b) Only II

c) Both

d) None

3. Which of the following is correct regarding current assets?

(i) Assets expected to be realised in the normal operating cycle are classified as current.

(ii) Assets held for administrative use are always current assets.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

4. Which of the following assets can be classified as current even if not realised within 12 months?

(i) Inventories

(ii) Trade receivables

a) Only I

b) Only II

c) Both

d) None

5. Which of the following is correct regarding current liabilities?

(i) Trade payables are classified as current liabilities even if payable after 12 months.

(ii) A liability is current if the entity has an unconditional right to defer settlement beyond 12 months.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

6. Which of the following presentation options are allowed by IAS 1?

(i) A single statement of comprehensive income

(ii) Two separate statements for profit or loss and other comprehensive income

a) Only I

b) Only II

c) Both

d) None

7. Which of the following components make up total comprehensive income?

(i) Profit or loss for the period

(ii) Other comprehensive income

a) Only I

b) Only II

c) Both

d) None

8. Which of the following expense analyses is permitted by IAS 1?

(i) Analysis by nature

(ii) Analysis by function

a) Only I

b) Only II

c) Both

d) None

9. Which of the following is correct regarding analysis by function?

(i) Expenses are classified as cost of sales, distribution and administrative expenses.

(ii) This method is commonly used in practice.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

11. Which of the following is correct regarding preparation of financial statements?

(i) All adjustments must have double entry effect on financial statements.

(ii) Trial balance items should be included only once.

a) Only I

b) Only II

c) Both are correct

d) Both incorrect

12. Which of the following best illustrates the Business Entity Concept?

a) Maria records her personal expenses as business expenses

b) Maria uses her personal bank account for business transactions

c) **Maria's bakery purchases ingredients, which is recorded separately from her personal groceries**

d) Maria combines her personal and business income for tax purposes

13. Which of the following transactions demonstrates the Duality Concept?

a) Recording an expense but not the corresponding payment of cash

b) Purchasing equipment without recording the payment

c) **Paying for office supplies using business cash, and updating both cash and supplies accounts**

d) Recording an income but not the corresponding receipt of cash

14. The Accrual Concept implies that:

a) Revenue is recorded only when cash is received

b) Expenses are recorded only when cash is paid

c) **Revenue and expenses are recorded when they are earned or incurred**

d) Both (a) and (b)

15. Which statement best reflects the Consistency Concept?

a) Switching inventory valuation methods each year

b) **Using the same inventory valuation method for all years**

c) Changing inventory valuation methods frequently

d) Applying different accounting methods for different periods

16. The Historical Cost Concept means that:

a) Assets are recorded at their market value

b) **Assets are recorded at their original purchase cost**

c) Assets' values are updated with inflation

d) Assets are revalued every year

17. True and Fair View means:

a) Misstating profits to attract investors

b) Ignoring certain expenses to improve appearance of financial performance

c) **Accurately presenting financial information without bias**

d) Focusing on only positive financial data

18. Materiality Concept implies:

a) Including every tiny expense in financial statements

b) Ignoring substantial expenses

c) **Presenting separately significant information that affects decisions**

d) Omitting important revenue items

19. Prudence Concept dictates:

a) Overstating revenues to look good

b) Ignoring potential expenses

c) **Recording potential expenses and not overestimating revenues**

d) Maximizing assets' value in financial statements

20. Completeness Concept means:

a) Omitting some of relevant details from financial statements

a) Including only favourable information in financial statements

b) **Ensuring all relevant information is included in financial statements**

c) Providing partial information selectively in the financial statements

21. Money Measurement Concept implies:

a) Recording only non-monetary events

b) Including intangible aspects in records

c) Ignoring monetary transactions

d) **Recording transactions in monetary terms only**

22. Which of the following is an example of a transaction that can be recorded under the money measurement concept?

a) Artist's creativity

b) **Purchase of art supplies**

c) Reputation of high quality services (goodwill)

d) Talented team of employees

23. Accounting Period Concept implies:

a) Preparing financial reports anytime

b) **Preparing reports for a specific time frame**

c) Ignoring reporting periods

d) Reporting only when convenient

24. Going Concern Concept means:

a) Business will cease soon

b) **Business assumes continuation for a foreseeable future.**

c) Business ignores future prospects

d) Business plans for immediate closure

25. Substance Over Form means:

a) Ignoring legal aspects of transactions

b) Overlooking transaction details

c) Recording only the legal form of transactions

d) **Focusing on the economic reality of transactions**

26. ABC Enterprises uses the following principle for preparation of its financial statements: "Items of capital nature, costing less than Rs. 1,000 are charged to expense.". What is the name of this accounting concept/principle?

a) Historical Cost

b) Business Entity

c) Duality Concept

d) **Materiality**

27. ABC Enterprises uses the following principle for preparation of its financial statements: "Sales revenue is recorded on dispatch of goods to customers irrespective of the date of receipt of payment." What is the name of this accounting concept/principle?

a) **Accrual basis**

b) Going Concern basis

c) Verifiability Concept

d) Substance over form

28. ABC Enterprises uses the following principle for preparation of its financial statements: "Cost of sales is recorded in the same period in which the revenue earned from the sale is recorded." What is the name of this accounting

concept/principle?

a) Understandability
b) Money Measurement
c) Accounting period
d) **Matching Concept**

29. How is the profit-sharing ratio determined in the absence of an agreement between partners?

Based on capital contributed by each partner
Equally shared among all partners
Based on seniority of each partner
Proportionate to the number of hours worked by each partner

30. If the net profit is Rs. 600,000 and the partnership agreement allows a salary of Rs. 150,000 to Partner A, how much profit will be left for appropriation on the basis of profit sharing ratio?

Rs. 600,000
Rs. 450,000
Rs. 300,000
Rs. 150,000

31. What is the nature of the Profit and Loss Appropriation Account?

Nominal account.
Capital account.
Personal account.
Real account.

32. If Rs. 1,000,000 is available for distribution and Partner A is entitled to Salary of Rs. 200,000 and a 60% share while Partner B receives 40%, how much does Partner A get?

Rs. 400,000
Rs. 600,000
Rs. 680,000
Rs. 800,000

33. What is impact of interest on drawings on the appropriation of profit or loss among the partners?

Increases the profit available for appropriation
Decreases the profit available for appropriation
No impact
Either increases or decreases the profit available for appropriation, depending upon balance in the capital account

34. If the partnership agreement specifies an interest on capital of 10% and Partner A has Rs. 500,000 in capital, how much interest will she receive if the net profit for the year is Rs. 250,000?

Rs. 10,000
Rs. 25,000
Rs. 50,000
Rs. 5,000

35. Partner A and Partner B have equal profit sharing agreement. There is no interest on capital, however, only partner B is entitled to monthly salary. If the business earned net profit during the year, which of the following is correct?

a. Both partners will have equal amount of profit credited to their capital account.

b. Partner A will have more amount of profit credited to her capital account.

c. Partner B will have more amount of profit credited to his capital account.

d. The partner will higher balance of capital would have more amount of profit credited to his/her capital account

36. In the event of a loss, how is the loss shared in a partnership without a specific agreement?

a. Equally shared.

b. Based on capital contributed.

c. Borne by the senior partner.

d. Proportional to drawings.

37. What happens to the profits distributed among partners?

a. Included in partners' drawings accounts

b. Charged as expense in profit or loss

c. Credited to profit or loss as income

d. Included in partners' capital accounts

38. Partner B withdrew Rs. 100,000 on January 1, and interest on drawings is charged at 12% annually. How much interest will Partner B be charged by June 30?

a. Rs. 12,000

b. Rs. 10,000

c. Rs. 8,000

d. Rs. 6,000
